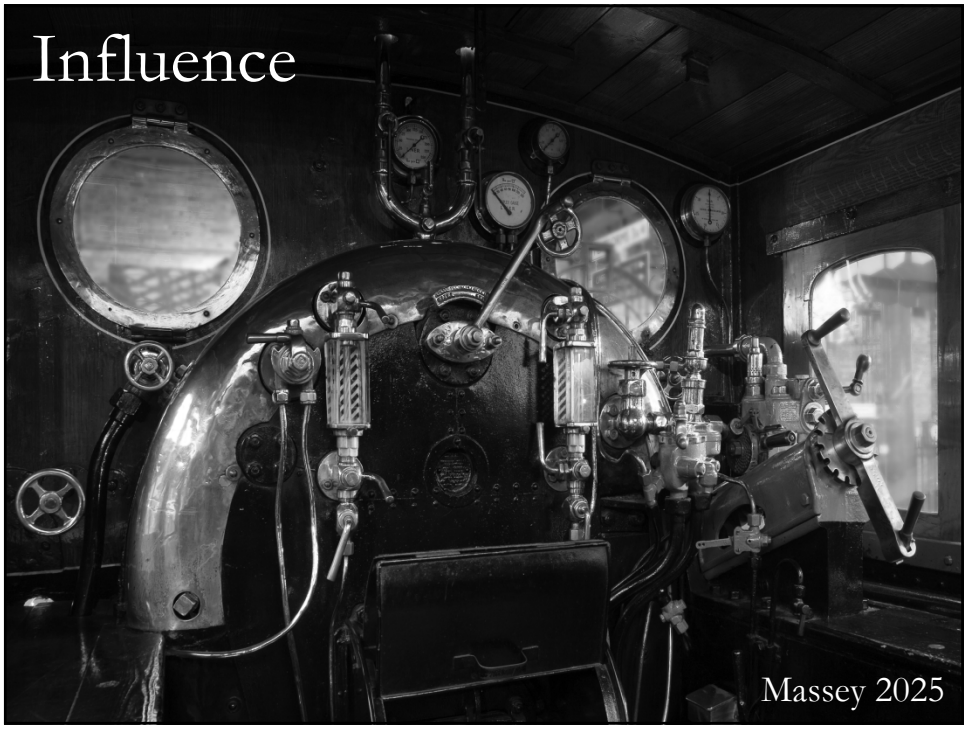


1

Course Admin (1 of 2)

Post-Class Survey: An ethical boundary you don't want to cross, or the beginning of an ethical framework.

- Due by midnight tonight

Next Class: Networks (I)

- Financial Times article by Ron Burt
- Caro chapter on LBJ: "Boss of the Little Congress"
- Survey due 8am day of class (to be posted)

Application #1

- Due 8am day of class

2

Course Admin (2 of 2)

Introductory Video ("VITA")

- Email invitations from Wharton People Lab out Tue 10/28
- Your videos are due 5p Sunday 11/2

Leverage Inventory

- Rater invites due midnight Friday October 31

3

Reading

Banaji, Bazerman and Chugh

Macchiavelli

(optional) Bhide & Stevenson

4

Behavioral Ethics

Banaji, Bazerman and Chugh, "How (Un)ethical are You?", Harvard Business Review, 2003.

Answer true or false: "I am an ethical decision-maker."

Unfortunately, neither strong convictions or good intentions are enough to ensure it. Because

- we show implicit prejudices,
- in-group favoritism,
- overclaim credit, and
- resolve conflicts of interest in way that favors us.

Awareness of these biases is not a sufficient step to ameliorate them, but it is a necessary one.

5

The Prince

What do these lines mean to you?

"…Men judge generally more by the eye than by the hand, because it belongs to everybody to see you, to few to come in touch with you. Every one sees what you appear to be, few really know what you are…"

6

Vignettes discussion

What principles guide your selections in the following vignettes?

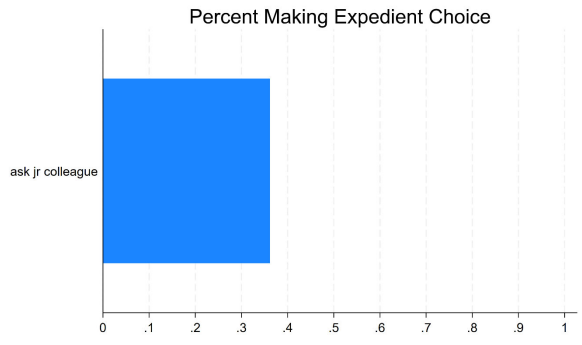
What new alternatives could you create ("third ways") that you would prefer to the existing stark choices?

Watch for the kinds of rationalizations Banaji et al warn us about.

7

You are in a senior position on a project team and a junior member of the team has family ties to the CEO of your client. You would like to influence the CEO on a matter that would be helpful to the success of the project. You can use your senior position to "ask" the junior associate to use their connection to help, knowing this would be unpleasant for the junior associate. Do you:

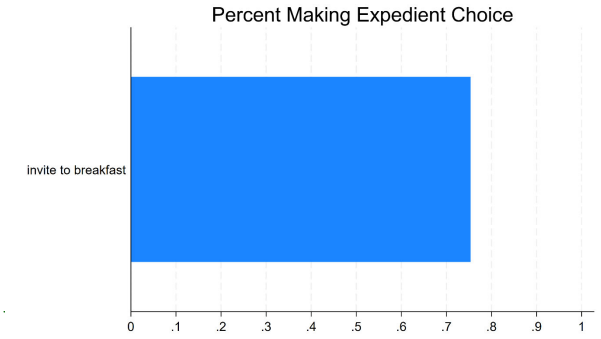
- ask the junior colleague for help
- not ask the junior colleague for help



8

There is a major meeting next week where several key stakeholders will come together to vote on a policy for which you have been advocating the past several months. The leader of your opposition is flying in from across the country just in time to attend the meeting. As you prepare your presentation, you realize there is one voter you have not seen in a long time who you believe is undecided. You can, by reflecting on her priorities, incorporate her perspective into your presentation to try to influence her vote. On the other hand, you could try to influence her vote by inviting her to breakfast to catch up informally and share your pitch before the formal vote. You would be scheduling this breakfast just when the stakeholder lands; the leader of your opposition would not have time to hold a similar meeting. Do you:

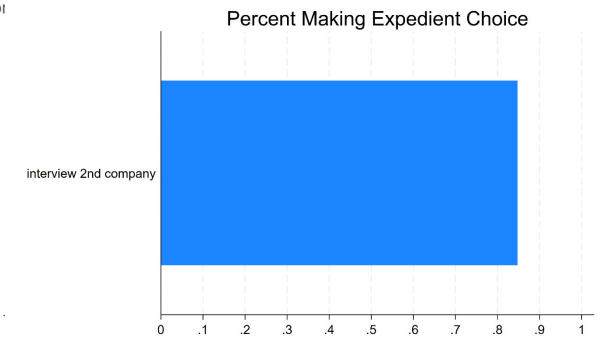
- incorporate the stakeholder's perspective into your presentation
- invite the stakeholder to breakfast before the vote



9

You spent the summer interning at a competitive firm and received a full-time job offer at the end of the summer. However, the salary they offered does not meet your expectations. Despite using benchmarks and other arguments in your salary negotiation, you are still unable to persuade the firm to increase their offer to meet your compensation expectations. You feel that coming forward with a higher offer from a competing company would likely sway their decision, but this would require interviewing with another company, and in the process, likely misrepresenting your true interest in the second company and wasting their resources. You know that you would not take an offer, if you were to receive one, from the second company. Do you:

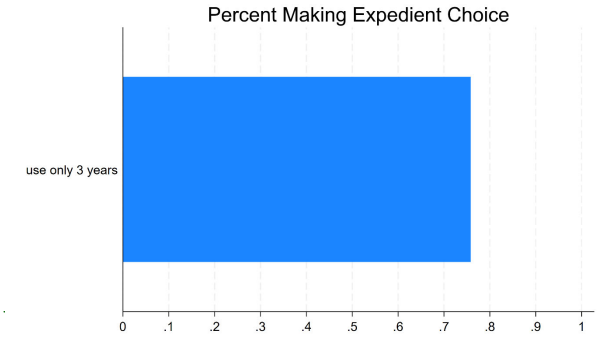
- interview with the second company
- not interview with the second co



10

Your boss asks you to run a report for the top leaders of your firm to evaluate the effectiveness of a recent project you spearheaded. You know that a promotion for both you and your boss are likely if the analysis shows positive results; in addition, you are also likely to save a few hundred jobs from layoffs across your firm. While doing your analysis, you observed that the results look stronger if compared to a baseline of the prior three years instead of the past five years. You can make an argument for using the former, though you know using the full five years is technically a more valid comparison. Do you:

- show the analysis using only three years of past data
- show the analysis using the full five years of pasts data available

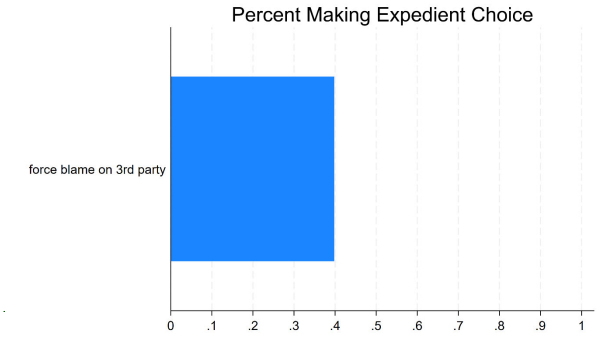


Massey – Fall 2025

11

In your job, you use a third party for help on a critical task. Due to a misunderstanding, a lot of money was lost in a transaction, but it is ambiguous whether you or the third party is at fault. Your company is an important client of the third party, and as such, you have the ability to blame them entirely, requiring them to refund the money. Alternatively you could accept part of the blame, which would damage your reputation. Do you:

- force the third party to accept all the blame
- accept shared blame

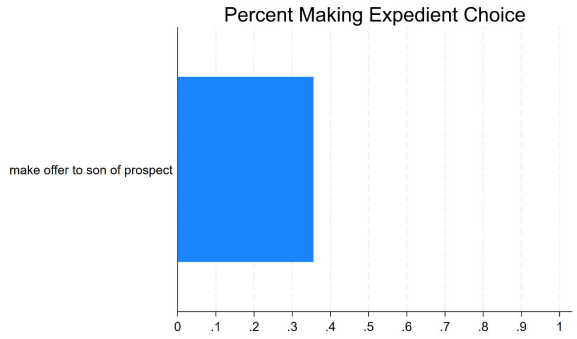


Massey – Fall 2025

12

You work in investment management and your firm has been chasing one high net worth individual who would be the single biggest account your firm has ever secured. After months of trying to win this person over, she mentions her son is looking for a job in investment management and asks if there are openings in your firm for her son. You review her son's application materials and it is clear he does not meet the academic and professional standards typical of your hiring practices. Hiring him, however, will make it likely that you secure her as a new account. Do you:

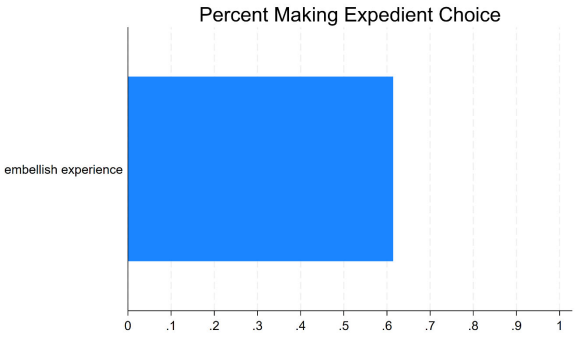
- make the potential client's son an offer of employment
- not make the potential client's son an offer of employment



13

Early in a job or career, you may sometimes feel the need to downplay your inexperience in an effort to establish credibility. This is especially true in jobs where you regularly interact with clients or beneficiaries. You are six months into a new job, walking into your first meeting with a client. The client asks for your professional background. Do you:

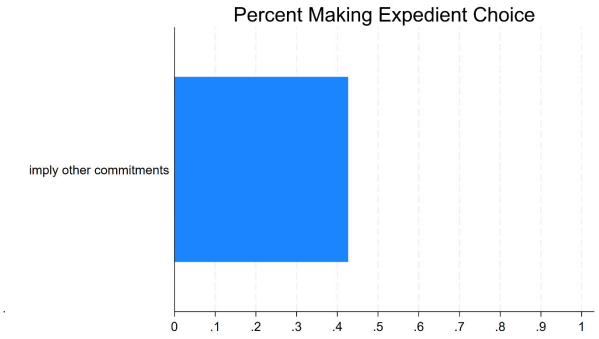
- own up to your youth, knowing it will make it hard to gain their trust
- embellish your experience



14

You are working on a startup and you have an important pitch in a few days with your first potential investor. As the representatives of the investor make their decision about whether to invest in your company, you know they will ask if you have any other investors already committed. If you say you do not, it will severely hurt your chances of securing this investment. Do you:

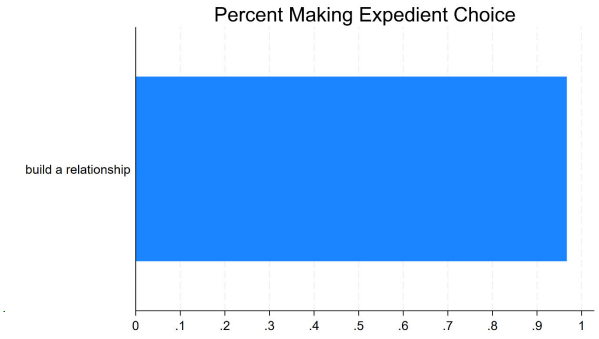
- imply you have other investors already committed
- acknowledge you do not have other investors



15

You recently found out that a senior manager at your firm just relocated to your town and is also a huge fan of your favorite sports team. You are excited to learn this as you think it could be a key lever to build a relationship with him. While you have heard negative things about the senior manager - he is difficult to work with and does not treat junior team members very well - you think this sports connection could be a platform to build a relationship to help propel your career. You are only interested in this relationship from a professional perspective. You realize the senior manager is new to the area and is eager to build personal relationships. He would not know that your motives for building the relationship are purely professional. Do you:

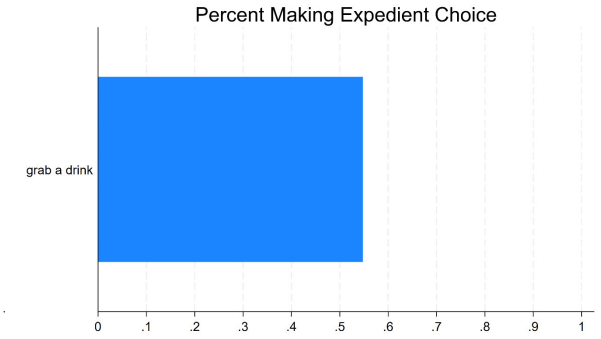
- build a relationship and help your career
- do not build a relationship



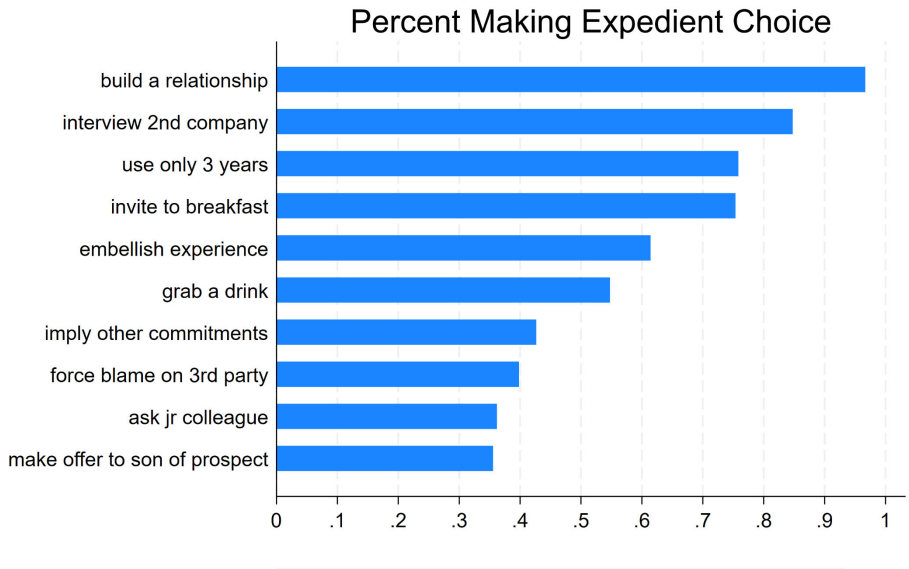
16

You just started a new job as a product manager. Throughout your career, you have learned how valuable building a wide professional network is as well as the importance of building personal relationships with your professional contacts. This is especially important in a product manager role, as part of your responsibilities are to "connect" disparate parts of the organization. One of your most critical stakeholders routinely insults team members behind their backs. He is also a bigot who is known to use awful slurs and disparaging others. However, due to his position in your new company, securing his buy-in will be critical to your success. This individual has taken a liking to you and asked you to grab a drink after work this afternoon. You anticipate he will try to bond with you by disparaging others, which makes you uncomfortable. You are also worried that your colleagues will resent you for getting a drink with him. Do you:

- grab a drink
- decline to grab a drink



17



18

Discussion

What patterns did you see in your classmates' comments?

What did you learn about yourself from this exercise?

19

"Hard Questions" survey?

How did that total up for you? How many "pragmatic" (i.e., expedient) choices did you make, out of 10?

20

Principles vs. Pragmatism?

"[Otto von Bismarck] disparaged theory and principle as yardsticks for political life. The result was a freedom from ideological constraints that made his behaviour unpredictable – one could call it realism, pragmatism or opportunism – an ability to spring from one camp to another, wrong-footing his opponents."

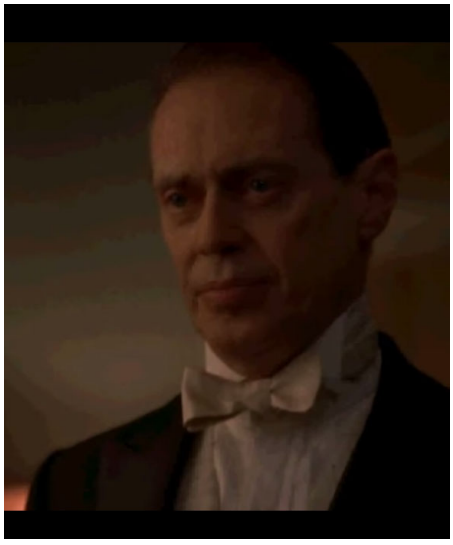


"'If I am to proceed through life on the basis of principles, it is as if I were to walk down a narrow path in the woods with a long pole in my mouth.'"

- Christopher Clark, Iron Kingdom, p521

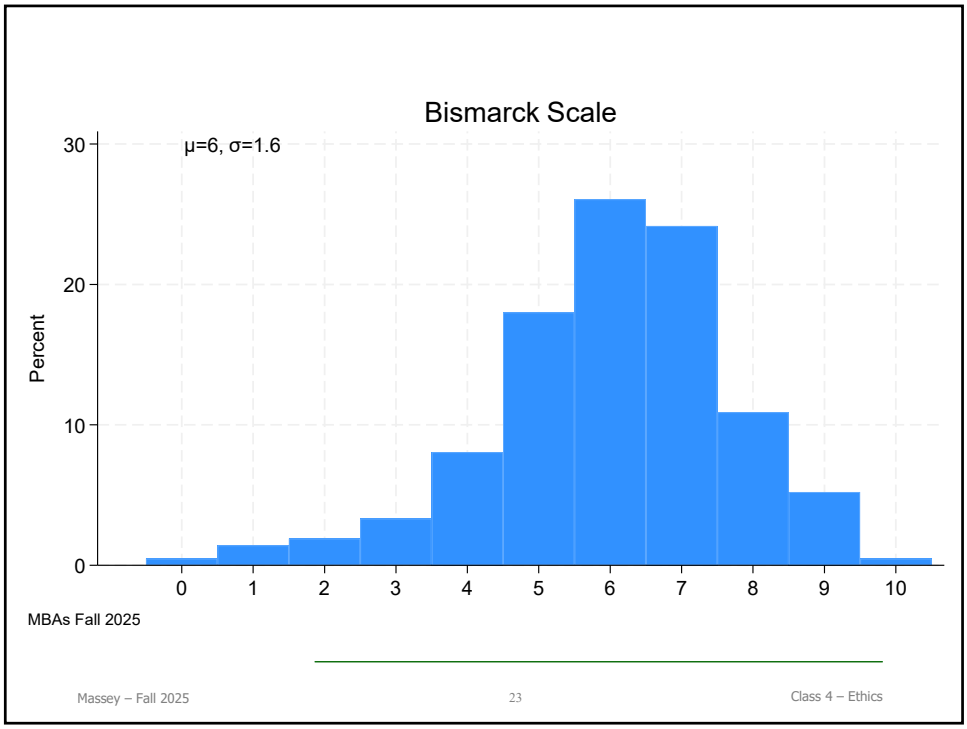
21

"We all have to decide for ourselves how much sin we can live with."

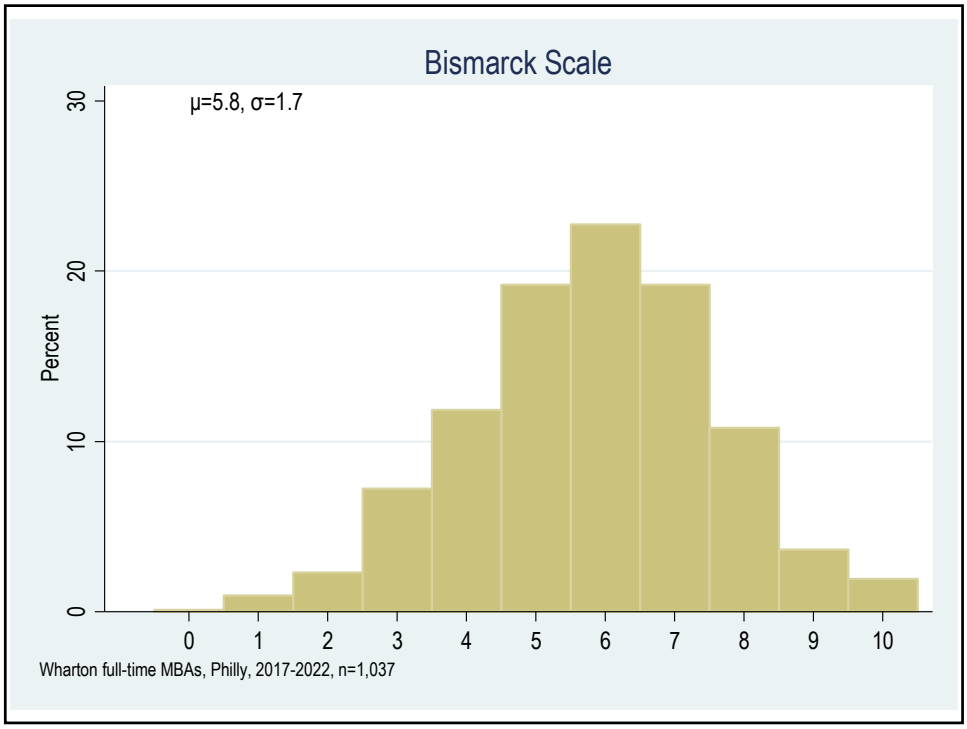


"Boardwalk Empire"
Season 1, final scene

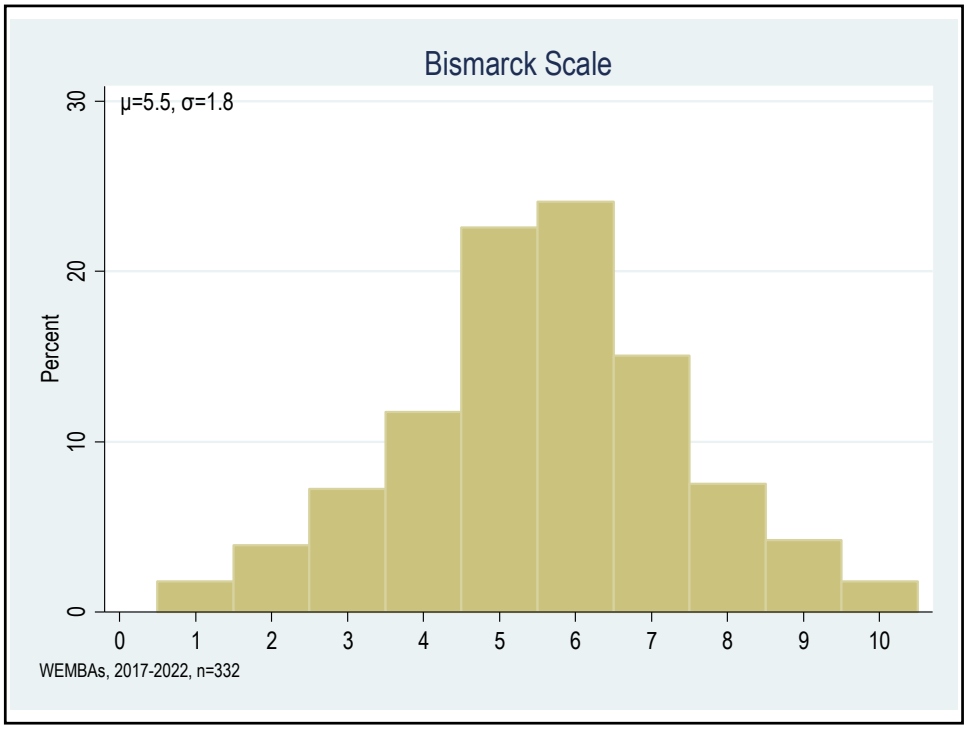
22


Bismarck Scale
μ=6, σ=1.6
Percent
30
20
10
0
0 1 2 3 4 5 6 7 8 9 10
MBAs Fall 2025
Massey – Fall 2025
23
Class 4 – Ethics

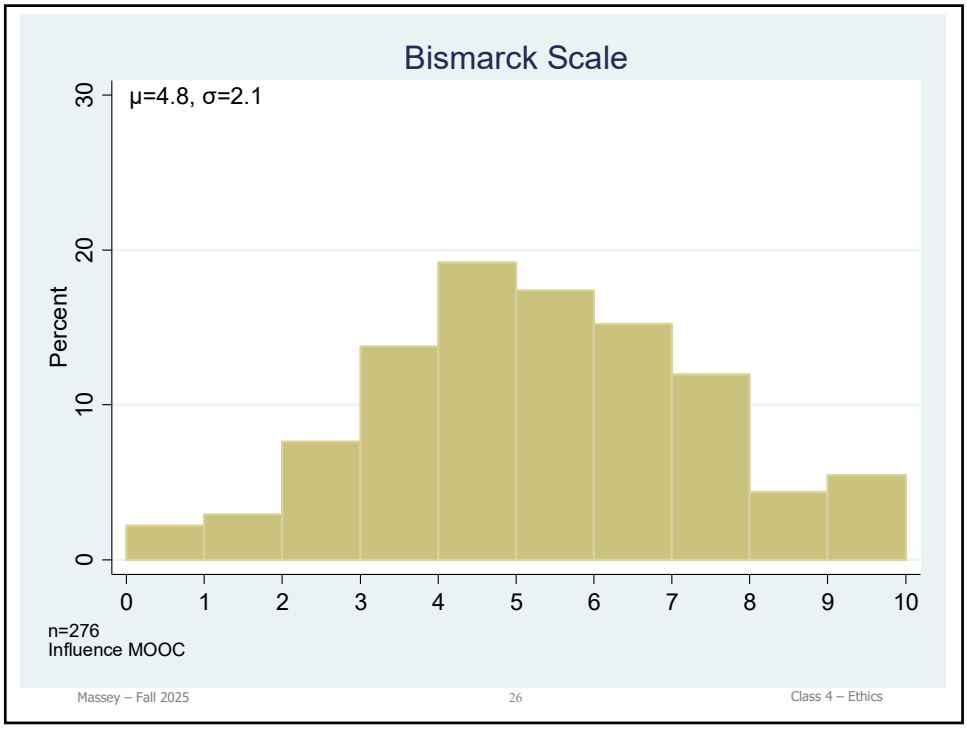
23


Bismarck Scale
μ=5.8, σ=1.7
Percent
30
20
10
0
0 1 2 3 4 5 6 7 8 9 10
Wharton full-time MBAs, Philly, 2017-2022, n=1,037

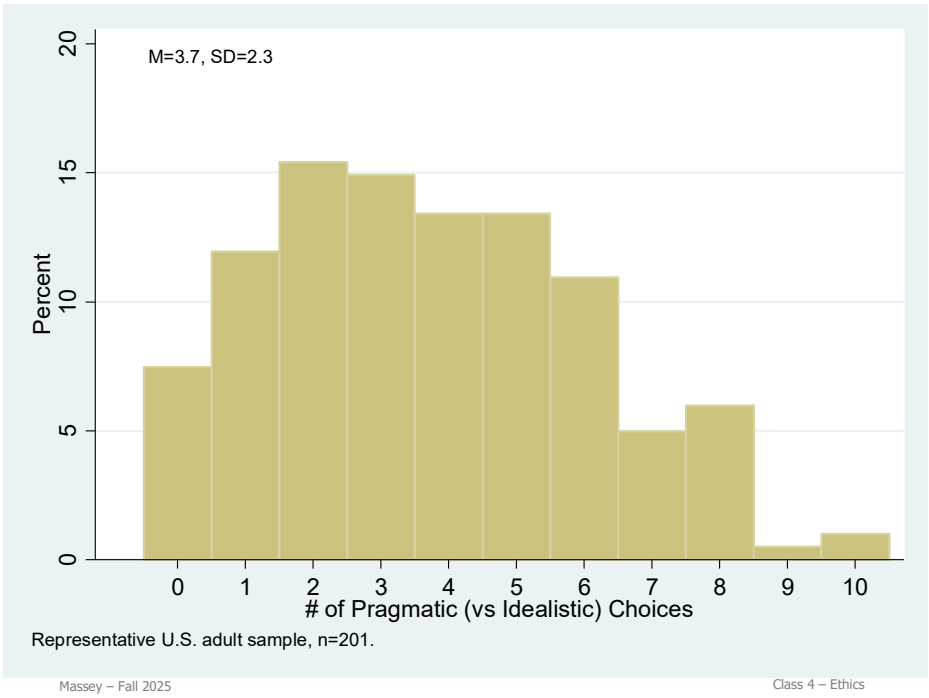
24


Bismarck Scale
μ=5.5, σ=1.8
Percent
0
10
20
30
0 1 2 3 4 5 6 7 8 9 10
WEMBAs, 2017-2022, n=332

25


Bismarck Scale
μ=4.8, σ=2.1
Percent
0
10
20
30
0 1 2 3 4 5 6 7 8 9 10
n=276
Influence MOOC
Massey – Fall 2025
26
Class 4 – Ethics

26



Representative U.S. adult sample, n=201.

27

Group comparisons

Why are our MBAs "more expedient" than the population at large?

- What explanations would you be fine with?
- What explanations would give you pause?

Any personal implications for you?

28

Need for Influence => Need for Principles

The pull to be similar, and the power from being similar, create some of our greatest conflicts.

- How to assimilate enough to be trusted, but protect yourself against being overly swayed by the group?
- How to know what matters across many contexts, when we're in the heat of a single context?

Some examples…

29

Marcus Aurelius' philosophy

"Never regard something as doing you good if it makes you…

- betray a trust,
- lose your sense of shame, or
- makes you show
  - hatred,
  - suspicion,
  - ill will,
  - hypocrisy,
  - or a desire for things best done behind closed doors."



30

Obama's (per 1st inaugural address)



Power alone cannot protect us, nor does it entitle us to do as we please. Instead…our power grows through its prudent use…emanates from the justness of our cause; the force of our example; the tempering qualities of humility and restraint. *(1/20/09)*

31

Richard Shell's bottom line

"Those who value personal integrity, negotiate consistently, using a thoughtful set of personal values that they could, if necessary, explain and defend to others."

32

Asuka Nakahara's Ethics "Checklist"

1) Front page of the Wall Street Journal
2) How would I feel about being on the other side of this?
3) What would you do if you had to make this decision 10 more times (say, every day, or every week)? 100 more times?
4) What's the long-term consequence (vs. short-term). Better or worse?

33

Gandhi's "Seven Social Sins"

Wealth without work
Pleasure without conscience
Knowledge without character
Commerce without morality
Science without humanity
Religion without sacrifice
Politics without principle (!)

34

Aristotle

"Moral excellence comes about as a result of habit. We become just by doing just acts, temperate by doing temperate acts, brave by doing brave acts."

35



36

Bhide & Stevenson

"We should remember, however, that this third way works only as long as most of us live by an honorable moral compass. Since our trust isn't grounded in self-interest, it is fragile. And, indeed, we all know of organizations, industries, and even whole societies in which trust has given way either to a destructive free-for-all or to inflexible rules and bureaucracy. Only our individual wills, our determination to do what is right, whether or not it is profitable, save us from choosing between chaos and stagnation."

37

My Prescriptions (Px)

Absolutes

Know you're biased

Talk about your decisions with others

Look for "third ways"

Personal choice, but consider

Have high standards for honesty

Strive for consistency (across domains)

Play for the long term

38

Rx: Influence and Ethics

Know that you are inevitably biased

- Armor's "illusion of objectivity"
- This calls for emotional distance, outside perspectives, environmental & institutional design.

We don't see the world as it is, we see it as we are. - Anais Nin

39

Rx: Influence and Ethics

Discuss your decisions with others

- An important – and easy – check on your biases
- The more different their background/orientation, the more valuable

President Obama: "In these situations we should have a bias towards operating multilaterally," he says. "Because the very process of building a coalition forces you to ask tough questions. You may think you are acting morally, but you may be fooling yourself."

40

Rx: Influence and Ethics

Look for the "third way"

- This is not a movie. There are ways to be effective and maintain integrity.
- Just because it's rare and demanding doesn't mean it can't be done!
- Be vigilant for examples. It helps to have vivid, flesh-and-blood examples.

41

Rx: Influence and Ethics

Having high standards for honesty impacts not only what you say but what you do.

- Like transparency in organizations, there are upstream consequences, changing behavior so that later it's easier to meet the standard.

42

Rx: Influence and Ethics

How consistent is your behavior?

- We might judge an act by considering in how many of our social circles we'd be comfortable discussing it.

43

Rx: Influence and Ethics

Often the trade-off is short-term vs. long-term

- Have eyes open about uncertainty – we are not promised the long term.
- Sustainable influence calls for playing for the long-term.

44

What about you?

What is <u>one</u> principle you want to <u>never</u> violate?

- You want this to be a guardrail in your future decision-making, the last boundary between the road you're navigating and a cliff.

Articulating an ethical framework can buttress you against the world's pressures

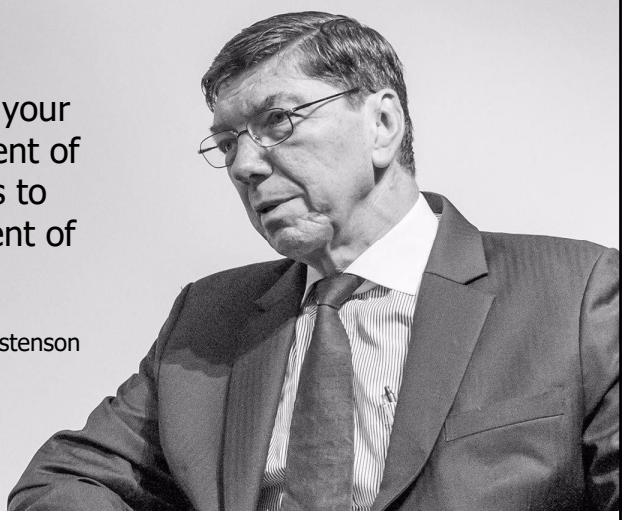
- We all need the help!

Answer by survey before going to bed tonight.

45

"It's easier to hold your principles 100 percent of the time than it is to hold them 98 percent of the time."

- Clayton Christenson



46

Appendix

47

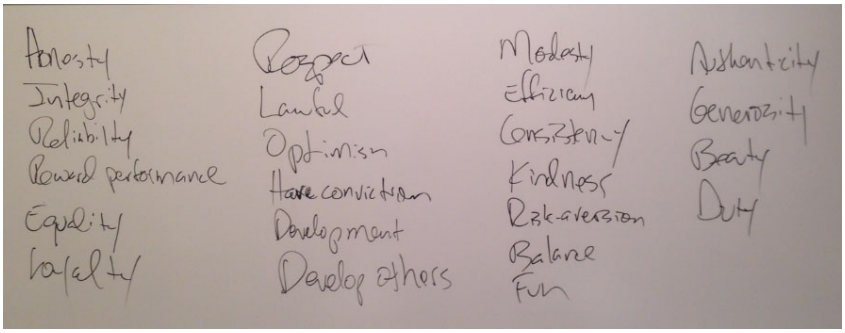
On Principles

Abstract ideas that govern behavior across situations.

- Useful in providing direction
- A source of utility in and of themselves
- Can engender respect from others
- And: Constrain your choices

48

What principles guide your behavior?



49

What is / is not worth fighting for?

Effectiveness often requires flexibility and compromise. Idealism is costly.

- E.g., de Mello doesn't repatriate 400,000 Cambodian refugees without sitting down with the Khmer Rouge.

But to be without principles, or to have them moved around by external forces, invites trouble.

- Suggests you need to know which lines you will not cross. What principles will you not sacrifice? What is your hierarchy?

50

The ethics of power

Recognize the downside of using influence. But also of not using influence.

Keep in mind your goals and why it is you want to exercise influence

- For family, friends, your organization, those you work with, the broader community, public policy

I.e., not trying is not a good option.

51

"Why be honest if honesty doesn't pay?"

On one hand… **&** **On the other…**

"Assessing the value of protection against the loss of power is even more incalculable. It is almost as difficult to anticipate the nature of divine retribution as it is to assess the possibility that at some unknown time in the future your fortunes may turn, whereupon others may seek to cause you some unspecified harm. With all these unknowns and unknowables, surely the murky future costs don't stand a chance against the certain and immediate financial benefits from breaking an inconvenient promise. The net present values, at any reasonable discount rate, must work against honoring obligations."

"The importance of moral and social motives in business cannot be overemphasized. A selective memory, a careful screening of the facts may help sustain the fiction of profitable virtue, but the fundamental basis of trust is moral. We keep promises because we believe it is right to do so, not because it is good business. Cynics may dismiss the sentiments we heard as posturing, and it is true that performance often falls short of aspiration. But we can find no other way than conscience to explain why trust is the basis for so many relationships."

52